

Pricing Power Examples



Parle-G

Parle-G biscuits have become a household name in India.

Primarily eaten as a tea-time snack, Parle-G is one of the oldest brand names in India. Initially Parle G was sold at Rs.2. The same quantity is now available for Rs 5, which indicates a 2.5x rise in the price of the product in, say, 10 years.

Has there been so much inflation? Actually No!

However, Parle G has been able to increase its prices faster than inflation, which demonstrates its pricing power.



McAloo Tikki

McDonald's burger, which was once available for Rs.20 is now sold for Rs.40. It has been able to boost the prices of its products, and still maintain a high volume of sales.

Their sales have not dwindled due to rise in prices which means they have strong pricing power. As a result, the size of profit grows.

“Product prices rise at the same pace as inflation and, in some cases faster, due to pricing power. This refers to the ability to increase prices without reducing the volume of sales.”